FRAUD-RISK.CO.UK

Budget-Holder Guidance

If you approve spending, you are one of your organisation's most important fraud controls. This guide sets out what you are responsible for, the warning signs to watch for, and what to do if something does not look right.

Your responsibilities

- **Approve only what you can check.** Before approving, confirm the goods or services were ordered, received and match the invoice.
- **Keep within your limit.** Do not split a purchase into smaller amounts to stay under an approval limit, and do not approve others' attempts to.
- **Never approve your own spending**, or spending by someone you have a personal or financial connection with.
- **Review your budget monthly.** Look at each line, not just the total. Unexplained variances are worth a question.
- **Declare conflicts of interest** and record any gifts or hospitality offered to you, whether you accept them or not.
- **Protect your approval access.** Do not share passwords or delegate approval without recording it.

Warning signs

Area	What to look for
Suppliers and invoices	A new supplier with no checks; a request to change bank details, especially by email; duplicate or sequential invoice numbers; round-number invoices; pressure to pay urgently.
Purchasing	Orders just under approval limits; the same supplier always winning; one person handling ordering, receipt and payment; reluctance to get competing quotes.
Expenses	Claims without receipts; claims for weekends or leave; mileage that does not match journeys; the same receipt claimed twice.
Payroll	People on the payroll you do not recognise; overtime that does not match the work; changes to pay details made without the employee's request.
Grants and restricted funds	Spending that does not fit the purpose of the funding; reports that do not match records; costs charged to more than one fund.
Email and payment requests	A message apparently from a senior leader asking for an urgent or confidential payment; a changed email address or a slight misspelling of a known one.

If you suspect fraud

1. **Do not investigate it yourself** or confront anyone. That can alert the people involved and spoil evidence.
2. **Write down what you saw**: dates, amounts, names and documents. Keep the documents safe and unaltered.
3. **Report it promptly** through your organisation's reporting route: your line manager, the counter fraud lead, or the confidential speak-up channel, which you can use anonymously.
4. **Stop or hold a suspicious payment** if you can do so without alerting the person concerned, and tell the person you report to that you have done so.
5. **Keep it confidential.** Share what you know only with the people handling the report.

> Reporting a genuine concern in good faith is the right thing to do, even if it turns out to be innocent. People who speak up are protected by law and by your organisation's whistleblowing policy.

Controls you own

- [ ] I check goods or services were received before approving payment.
- [ ] I confirm any change of supplier bank details by calling a number already on file.
- [ ] I review my budget line by line every month and query variances.
- [ ] I have declared my interests and recorded any gifts or hospitality.
- [ ] I know how to report a concern, including anonymously.
